



Entrepreneurship and Professional Practice Unit V: Ethics and Responsibilities for Professional Practice (4 Hrs.)

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Unit V: Ethics and Responsibilities for Professional Practice (4 Hrs.)

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5.1 Professional ethics and responsibilities

- Professional ethics refers to the moral principles, standards of conduct, and guidelines that govern the behavior of individuals in a professional setting.
- For any professional—engineer, manager, doctor, accountant, or entrepreneur—ethical conduct is essential to maintain trust, credibility, and integrity in society.

Key Concepts of Professional Ethics

1. Integrity

Acting honestly and consistently, even when no one is watching.

2. Accountability

Taking responsibility for actions, decisions, and their consequences.

3. Confidentiality

Protecting personal and organizational information from misuse.

5.1 Professional ethics and responsibilities

4. Respect

Treating colleagues, customers, and stakeholders with fairness and dignity.

5. Transparency

Being open about processes, decisions, and potential conflicts of interest.

6. Competence

Continuously improving knowledge and skills to ensure high-quality work.

7. Non-maleficence (Do No Harm)

Ensuring that professional actions do not cause harm to individuals, society, or the environment.

8. Fairness and Justice

Ensuring decisions are impartial and equitable.

5.1.1 Professional Roles and Responsibilities

Professionals hold multiple roles depending on their field. With each role comes specific responsibilities that must be fulfilled ethically.

1. Responsibility to the Profession

- Follow the professional code of conduct.
- Uphold the dignity and reputation of the profession.
- Participate in lifelong learning and skill enhancement.

2. Responsibility to the Employer or Organization

- Perform duties with honesty and dedication.
- Use organizational resources responsibly.
- Maintain confidentiality of sensitive information.
- Avoid conflicts of interest.

5.1.1 Professional Roles and Responsibilities

3. Responsibility to Clients or Customers

- Deliver high-quality services or products.
- Provide accurate and clear information.
- Avoid misleading or fraudulent conduct.
- Ensure customer safety and satisfaction.

4. Responsibility to Society

- Contribute positively to community welfare.
- Ensure that products or services do not harm the environment or public.
- Abide by laws, regulations, and societal norms.

5.1.1 Professional Roles and Responsibilities

5. Responsibility to Team Members and Colleagues

- Encourage teamwork and collaboration.
- Treat all colleagues with fairness and respect.
- Manage conflicts ethically.
- Support a safe and inclusive workplace.

6. Responsibility in Decision-Making

- Make evidence-based, rational, and unbiased decisions.
- Consider long-term impacts on stakeholders.
- Ensure ethical implications are evaluated before acting.

5.1.2 Conflict of interest

A **conflict of interest (COI)** occurs when a professional's **personal interests** (financial, emotional, relational, or any type of benefit) interfere with or appear to interfere with their **professional duties, judgment, or decisions**. It reduces trust, affects fairness, and may harm clients, employers, or the public.

Types of Conflict of Interest

1. Actual Conflict of Interest

A real and existing conflict where personal interest **directly** affects professional decisions.

Example: An engineer approving materials from a company in which he owns shares.

5.1.2 Conflict of interest

2. Potential Conflict of Interest

A conflict that **might arise in the future**, depending on circumstances.

Example: Being asked to evaluate a project that may later involve a close friend.

3. Perceived / Apparent Conflict of Interest

A situation where people **believe** a conflict exists even if it does not.

Example: Public assumption that a manager favored a relative during hiring, even if unbiased.

5.1.2 Conflict of interest

Common Sources of Conflict of Interest

- Personal financial gain
- Gifts, bribes, or favors
- Nepotism (favoring relatives)
- Self-dealing
- Outside employment affecting main job
- Personal relationships influencing decisions

5.1.2 Conflict of interest

Consequences of Conflict of Interest

- Loss of trust and credibility
- Poor decision-making
- Damage to professional reputation
- Legal or disciplinary action
- Harm to clients, employer, or society

5.1.2 Conflict of interest

Ways to Handle / Avoid Conflicts of Interest

1. Disclosure

Inform the relevant authority whenever a conflict exists or may arise.

2. Recusal

Remove yourself from the decision-making process to maintain fairness.

3. Follow professional ethics codes

Adhere to institutional or industry-specific guidelines.

4. Avoid accepting gifts or favors

Especially from clients, suppliers, or contractors.

5. Maintain transparency

Keep processes open, traceable, and unbiased.

5.1.3 Whistleblowing

Whistleblowing is the act of **reporting unethical, illegal, unsafe, or harmful activities** within an organization to authorities who can take corrective action. The person who reports such misconduct is called a **whistleblower**.

Types of Whistleblowing

1. Internal Whistleblowing

- Reporting wrongdoing **within the organization**.
- The report is made to supervisors, HR, ethics committee, or internal audit team.

2. External Whistleblowing

- Reporting wrongdoing to **outside authorities**, such as regulatory agencies, media, police, or government bodies.
- Used when internal systems fail or when the issue is too serious.

5.1.3 Whistleblowing

3. Open Whistleblowing

The whistleblower **reveals their identity**.

4. Anonymous Whistleblowing

The whistleblower keeps their identity **hidden** to avoid retaliation.

5.1.3 Whistleblowing

When is Whistleblowing Justified?

Whistleblowing is ethically justified when:

1. The action being reported is **illegal or seriously harmful**.
2. Employee has **clear evidence** of wrongdoing.
3. Internal reporting channels have been tried OR are likely to fail.
4. The whistleblower acts **in good faith**, not for personal gain.
5. Benefits of reporting outweigh the potential harm.

5.1.3 Whistleblowing

Reasons Whistleblowing Happens

- Corruption, bribery
- Fraud or financial misconduct
- Safety violations
- Environmental hazards
- Harassment or discrimination
- Violation of professional ethics

Risks Faced by Whistleblowers

- Job loss or demotion
- Harassment or discrimination
- Damage to reputation
- Psychological stress

■ Because of these risks, whistleblowers often require **legal protection**.

5.1.3 Whistleblowing

Importance of Whistleblowing

- Promotes transparency and accountability
- Prevents harm to public, environment, and organizations
- Encourages ethical behavior
- Supports compliance with laws and regulations

5.1.4 Corporate social responsibility

Corporate Social Responsibility (CSR) refers to the ethical obligation of businesses to contribute positively to society, the environment, and stakeholders beyond their profit-making activities.

It means companies should operate in a **socially, ethically, and environmentally responsible** manner.

Key Elements of CSR

1. Accountability

Companies must take responsibility for the impact of their actions on society.

2. Transparency

Clear reporting of operations, finances, and sustainability practices.

5.1.4 Corporate social responsibility

3. Ethical Behavior

Fairness, honesty, integrity, and compliance with laws.

4. Sustainability

Protecting the environment and using resources responsibly.

5. Stakeholder Focus

Considering interests of employees, customers, suppliers, communities, and investors.

5.1.4 Corporate social responsibility

Areas of CSR

1. Economic Responsibility

- Producing useful goods/services efficiently
- Creating jobs
- Supporting economic growth

2. Legal Responsibility

- Following laws and regulations
- Ensuring consumer protection, labor rights, fair competition

3. Ethical Responsibility

- Doing what is morally right even beyond legal requirements
- Fair wages, honest advertising, non-discrimination

5.1.4 Corporate social responsibility

4. Philanthropic Responsibility

- Voluntary contributions to society
- Donations, scholarships, community development, disaster relief

Benefits of CSR For Companies

- Improves brand image and reputation
- Attracts customers and investors
- Boosts employee morale and retention
- Reduces legal risks

5.1.4 Corporate social responsibility

For Society

- Better environmental protection
- Social welfare and development
- Improved education, health, and community life

Examples of CSR Activities

- Planting trees and reducing carbon emissions
- Supporting local education and health programs
- Promoting workplace diversity and employee welfare
- Ensuring safe products and ethical supply chains

CSR and Sustainability

CSR encourages businesses to focus on **long-term impacts**, not just profits, promoting sustainable development for future generations.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

A **Code of Conduct** is a set of ethical guidelines, rules, and professional standards that engineers and computing professionals must follow to ensure responsible, safe, and trustworthy practice.

A. Nepal Engineering Council (NEC) – Code of Conduct

The **NEC Code of Conduct** guides engineers in Nepal to perform their duties responsibly, ethically, and in the public interest.

Key Principles

1. Public Safety and Welfare

- Prioritize safety, health, and welfare of the public.
- Avoid actions that may cause harm, danger, or risk.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

2. Competence

- Work only in areas where you are qualified.
- Maintain and upgrade technical skills.

3. Integrity and Honesty

- Provide truthful and accurate information.
- Avoid deception, fraud, or misleading statements.

4. Professional Responsibility

- Follow national laws, engineering standards, and NEC regulations.
- Accept responsibility for your work and decisions.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

5. Confidentiality

Protect confidential information of clients and employers.

6. Avoid Conflict of Interest

Do not let personal interest influence professional decisions.

7. Environmental Responsibility

Promote sustainable and eco-friendly practices.

8. Respect and Fairness

Treat colleagues, clients, and workers with dignity and fairness.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

B. IEEE Code of Ethics

The **Institute of Electrical and Electronics Engineers (IEEE)** has a widely recognized global code of ethics.

Key Ethical Principles

1. Public Safety

Hold paramount the safety, health, and welfare of the public.

2. Avoid Conflicts of Interest

Be honest and avoid real or perceived conflicts.

3. Honesty and Fairness

Reject bribery, corruption, or dishonest behavior.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

4. Respect and Inclusion

Treat all persons fairly without discrimination.

5. Environmental and Social Responsibility

Improve understanding of technology's impact on society.

6. Competence

- Maintain and improve technical competence.
- Only undertake tasks for which you are qualified.

7. Accountability

Accept responsibility for one's work and errors.

8. Proper Credit and Intellectual Property

- Give credit where it is due.
- Respect copyrights, patents, and intellectual property.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

C. ACM Code of Ethics and Professional Conduct

The **Association for Computing Machinery (ACM)** provides a comprehensive ethical framework for computing professionals.

Key Principles

1. General Ethical Principles

- **Contribute to society and human well-being.**
- **Avoid harm** to users, society, and environment.
- **Be honest and trustworthy.**
- **Be fair and take action against discrimination.**
- **Respect privacy** and confidentiality.
- **Honor intellectual property rights.**

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

2. Professional Responsibilities

- Strive for high quality and competence in computing work.
- Maintain transparency and accountability.
- Accept and provide appropriate professional review.
- Evaluate the social and environmental impacts of systems.
- Manage systems to ensure security and privacy.

3. Leadership Responsibilities

- Lead processes that promote ethical conduct.
- Ensure that teams follow professional standards.
- Encourage diversity, inclusion, and fair decision-making.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

4. Compliance with the Code

Professionals must follow these rules and report violations.

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

Short Summary

NEC Code of Conduct

Focuses on **public safety**, competence, honesty, confidentiality, environmental responsibility, and avoiding conflicts of interest.

IEEE Code of Ethics

Emphasizes **safety, integrity, fairness, competence, accountability**, and responsible use of technology.

ACM Code of Ethics

Covers **avoiding harm, privacy, fairness, honesty, professional responsibility**, and ethical leadership in computing.